

Everest Insurance®
461 Fifth Avenue, 3rd Floor
New York, NY 10017-6234



01/23/2023 (Revised)

Jorgen Andersson
Willis Towers Watson Northeast, Inc.
Brookfield Place, 200 Liberty Street
New York, NY 10281

EVEREST EZSM EXCESS POLICY CONDITIONAL BINDER

Dear Jorgen,

Everest National Insurance Company ("Everest") is pleased to offer the following binder, which remains valid, unless withdrawn by Everest, until the insurance policy is issued. This binder is not an insurance policy. Coverage is determined by and subject to the terms, limits and conditions of the actual insurance policy. Issuance by Everest and acceptance by or on behalf of the Insured of the actual insurance policy shall render this binder void, except as provided below.

This binder consists of three sections: (1) Standard Terms and Conditions; (2) Additional Underwriting Information; and (3) Additional Information and Schedules.

This binder is based upon the information provided to Everest to date. The binder, including pricing and all terms, provisions, conditions and limitations specified or referenced herein, is conditioned upon: (1) Everest's receipt, review, and acceptance of the Additional Underwriting Information identified below; and (2) no material adverse change in the condition of the applicant or the risk to be insured ("Insured") between the date of the binder and the effective date of the policy, including an occurrence which could substantially alter the evaluation of the Insured.

If the Additional Underwriting Information is not received within the timeframe stated below, or if timely received, is not accepted by Everest, Everest may, in its sole discretion, withdraw this binder or modify its terms and conditions.

Additionally, if such a material change is discovered or a claim is made against any Insured between the date of the binder and the effective date of the policy, the Insured must advise us immediately. In either event, Everest fully reserves its rights to accept or deny this risk and may take any and all action allowed under state law, including but not limited to voiding coverage ab initio and/or canceling this conditional binder and any policy issued pursuant thereto.

Please note that this binder may not meet all of your specifications and/or specific requests for coverage, so please review it carefully. As always, coverage is determined by and subject to the terms, limits and conditions of the actual insurance policy.

STANDARD TERMS AND CONDITIONS

General Caveats

Insured acknowledges and agrees that if it has consented to conduct business electronically and accept electronic delivery of the policy, insurance documents, notices, disclosures, and records (collectively, "Policy Documents") issued by Everest, it will not be issued paper copies of Policy Documents, unless required by law. Insured acknowledges and agrees that it may request written Policy Documents in accordance with the terms of the consent provided to do business electronically.

Please confirm your choice to purchase or decline Terrorism coverage, if applicable, as outlined in this binder. If terrorism coverage is declined, the binder cannot be bound until the signed TRIA rejection of coverage form is returned. Additional forms will apply at binding based on decision to select or reject terrorism coverage.

ADDITIONAL UNDERWRITING INFORMATION

This binder is subject to receipt, review and acceptance of the following additional underwriting information:

1. Underlying Policies when available

Please provide an email address for an appropriate contact at the Named Insured.

We appreciate your business. If you have any questions, please feel free to contact me at any time. If you have questions about our full product offering please visit us at www.everestre.com.

Regards,



Matthew Holzinger
908-324-1582/Matthew.Holzinger@everestre.com



ADDITIONAL INFORMATION & SCHEDULES

COVERAGE TERMS

Insured Name:	EnCap Investments, L.P.
Physical Address:	9651 Katy Freeway Houston, TX 77024
Insurer:	Everest National Insurance Company
Policy Number:	AS5EX00079-231
Policy Period:	Effective Date*: 01/23/2023 - Expiration Date*: 01/23/2026 *12:01 a.m. (Local time at the Named Insured's Address)
Type:	Renewal of AS5EX00079-211
Policy Form:	Everest EZ Excess Policy
Coverage(s):	Directors and Officers Liability, Professional Liability, and Employment Practices Liability
Extended Reporting Period:	Follow Form of Primary Policy
Commission:	15.00%**
Policy Premium:	\$465,300 Statutory taxes, fees and/or guarantee fund taxes and other applicable state specific premium surcharges are separate and in addition to the indicated premium.
Binder Expiration Date:	Upon Policy Issuance
Premium Due Date:	02/22/2023

**Commission percentages shown are for direct commission only and do not include any applicable contingent commission or other forms of compensation.

AGGREGATE LIMIT OF LIABILITY for all **Liability Coverage Parts**: \$10,000,000**AGGREGATE LIMIT OF LIABILITY OF THE UNDERLYING INSURANCE (including Primary Policy)**: \$20,000,000**PRIMARY POLICY**

Company	Policy Period	Limit	Retention
National Fire & Marine Insurance Company	01/23/2023 - 01/23/2026	\$10,000,000	\$1,000,000 - (\$1,410,000 Premium)

SCHEDULE OF UNDERLYING INSURANCE

Company	Policy Period	Limit	Attachment
XL Specialty Insurance Company	01/23/2023 - 01/23/2026	\$10,000,000	\$10,000,000 - (\$775,000 Premium)

The following Declaration(s) Pages and Coverage Parts(s) will be added to the Policy Form:

TITLE	FORM #
Everest EZ Excess Policy	EZE-CWF300A-2 0517
Schedule of Forms & Endorsements	EIL-CWF002A-1 0319
Cap On Losses From Certified Acts Of Terrorism	EIN-CWF102A-1 0118
ADVISORY NOTICE REGARDING TRADE OR ECONOMIC SANCTIONS	EIL-CWN010A-1 1020

The following endorsements will be added to the Policy Form:

TITLE	FORM #
Prior Litigation Follow-Form Exclusion Endorsement - TBD will match expiring layer	EZE-CWF010C-2 0517

Note: We will issue all policy documents electronically. You may obtain a hard copy of the policy form upon request. Endorsement titles are used for ease of reference only. If specimen copies are required, please request using the corresponding form number above.



NOTICE - OFFER OF TERRORISM COVERAGE NOTICE – DISCLOSURE OF PREMIUM - TEXAS

The Further Consolidated Appropriations Act, 2020, which was signed into law on December 20, 2019, in part, reauthorizes the Terrorism Risk Insurance Act of 2002 (TRIA), under Title V, cited as the Terrorism Risk Insurance Program Reauthorization Act of 2019. TRIA is a program within the Department of the Treasury, under which the federal government shares, with the insurance industry, the risk of loss from terrorist attacks. The Act applies when the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, certifies that an event meets the definition of a "certified acts of terrorism". The Act provides that, to be certified, acts of terrorism must result in insured losses in excess of five million dollars and must have been committed by an individual or individuals as part of an effort to coerce the government or population of the United States. As used in this notice, "certified acts of terrorism" means acts of terrorism **that are certified under the federal program as acts of terrorism**.

In accordance with the Terrorism Risk Insurance Act, as extended on, December 20, 2019 we are required to offer you coverage for any "certified act of terrorism" Your decision is needed on this question: Do you choose to pay the premium for terrorism coverage stated in this offer of coverage, or do you reject the offer of coverage and not pay the premium? You may accept or reject this offer.

See the section of this Notice titled **DISCLOSURE OF PREMIUM**. If you choose to accept this offer of coverage, your premium will include the additional premium for terrorism as stated in such **DISCLOSURE**. Payment of the additional premium will constitute acceptance of this offer. If you choose to reject this offer, you must do so by signing the enclosed statement and returning it to your agent or broker.

If you **accept** coverage under the Act, eligible lines of insurance within your policy will contain a cap on payment of damages that are from "certified acts of terrorism" reflecting the limits established by the Act. If permitted by your state, your policy will also contain an exclusion for punitive damages resulting from "certified acts of terrorism", since punitive damages are excluded under the Act. If you **reject** coverage under the Act, your policy will contain an exclusion for "certified acts of terrorism".

LIMITATION ON PAYMENT OF TERRORISM LOSSES (applies to policies which cover terrorism losses insured under the federal program, including those which only cover fire losses)

The provisions of the Terrorism Risk Insurance Act, as extended on, December 20, 2019 can limit our maximum liability for payment of losses from "certified acts of terrorism". That determination will be based on a formula set forth in the law involving the national total of federally insured terrorism losses in a Calendar Year and individual insurer participation in payment of such losses.

DISCLOSURE OF FEDERAL PARTICIPATION IN PAYMENT OF TERRORISM LOSSES

You should know that where coverage is provided by this policy for losses resulting from "certified acts of terrorism", such losses may be partially reimbursed by the United States Government under a formula established by federal law. Under this formula, the United States Government pays 80% of covered terrorism losses exceeding the statutorily established deductible paid by the insurance company providing the coverage. The premium charged for this coverage is provided below and does not include any charges for the portion of loss covered by the Federal Government under the Act.

CAP ON INSURER PARTICIPATION IN PAYMENT OF TERRORISM LOSSES

If aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a Calendar Year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

DISCLOSURE OF PREMIUM - If you accept this offer, the premium for terrorism coverage is \$0.

By law, some states do not allow you to reject first party property coverage for fire following an act of terrorism. If you reject this offer and your state requires that we provide you with terrorism coverage for fire following terrorism, the premium for the required first party fire following terrorism coverage is \$0. (If "N/A" appears, this type of coverage is not applicable to your policy.)



Named Insured EnCap Investments, L.P.

Policy/binder/quote No. AS5EX00079-231

IF YOU WISH TO REJECT COVERAGE UNDER THE TERRORISM RISK INSURANCE ACT, AS EXTENDED ON, December 20, 2019, THE FIRST NAMED INSURED IF AN INDIVIDUAL, OR AN AUTHORIZED OFFICER, PARTNER OR MEMBER MUST SIGN ONE OF THESE STATEMENTS

TERRORISM RISK INSURANCE ACT REJECTION OF COVERAGE

I acknowledge that I have been notified as required under the Terrorism Risk Insurance Act, as extended on December 20, 2019 that as respects to the above numbered insurance policy issued to me:

1. I have been offered coverage for acts of terrorism as defined in the Act;
2. I have been advised that if I accept coverage for acts of terrorism as defined in the Act, the United States Government will participate in the payment of terrorism losses insured under the Act, subject to the provisions of the Act;
3. I have been told that if I reject coverage under the Act by signing this notice, to the extent allowed by law, I will have no coverage for any act of terrorism under this policy.
4. I have been notified of the annual premium for coverage for acts of terrorism as defined in the Act.
5. I hereby **reject** coverage for acts of terrorism as defined in the Act and understand my policy will contain an exclusion for acts of terrorism.

Policyholder/applicant's signature

Date

Print name

RETURN THIS FORM TO YOUR AGENT OR BROKER. A COPY OF THIS DOCUMENT IS AS BINDING AS THE ORIGINAL.

ATTENTION AGENT OR BROKER: THIS FORM MUST BE SIGNED PERSONALLY BY THE INSURED, OR AUTHORIZED OFFICER, PARTNER OR MEMBER AND RETURNED BACK THROUGH ANY APPLICABLE INTERMEDIARY AGENT/ BROKER/ WHOLESALER TO THE COMPANY OR PROGRAM ADMINISTRATOR.

